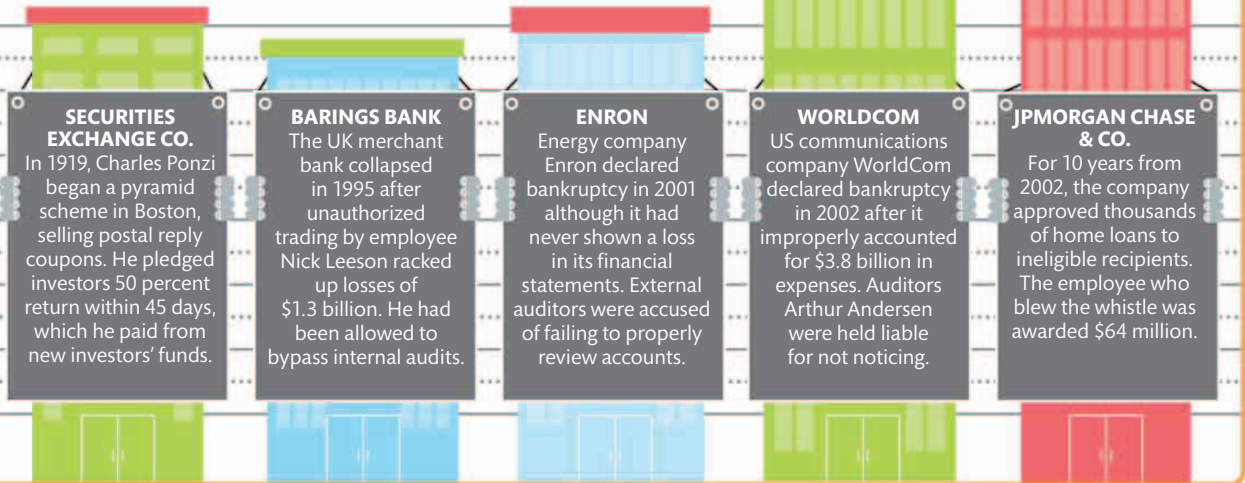


LINE-UP: TOP FIVE NOTORIOUS FRAUDS

Some of the worst frauds stem from the most prestigious companies. Enron was one of the top seven US companies, while JPMorgan Chase & Co. was the largest American bank when measured by assets.



CEO behavior

- › Evasive behavior by executives over important financial details
- › Attempts by CEO to steer auditors away from certain documents

Technicalities

- › Late entry of sales or earnings adjustments
- › Missing approvals or signatures
- › Photocopied documents presented in place of originals

Setting up confidential hotline for current and past employees or others with knowledge of the company

Using element of surprise, such as undertaking an aggressive internal audit without prior warning

Conducting a surprise cash count to determine whether current cash flow matches statements

Data mining with auditing software to detect any mismatch between past patterns and current statements